Humana. **Claims Payment Policy**

Subject: Itemized Bill Review for Inpatient Routine Services

Application: Medicare Advantage and Medicaid Products
Policy number: CP2016005
Related policies: Itemized Bill, Outpatient Claim Itemized Bill Review

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Overview

Facility billing guidelines for the UB-04 claim form, also known as the CMS-1450, and the 837 institutional electronic equivalent require providers to bill revenue codes to describe services rendered. Revenue codes are categorical and do not describe exact items, supplies and services provided during an inpatient admission. Humana may request an itemized bill for an inpatient facility claim to verify that billed revenue codes represent charges for appropriately billed items, supplies and services. *Routine* items, supplies and services already included in the primary inpatient *room and board charge* are not separately billable.

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Medicare Advantage Payment Policy

In addition to the policy, claims payments are subject to other plan requirements for the processing and payment of claims, including, but not limited to, requirements of medical necessity and reasonableness and applicable referral or authorization requirements.

Humana sometimes reviews an itemized bill for an inpatient admission to determine whether supplies, items and services specified on the itemized bill are separately billable. To separately bill for items, supplies and services rendered during an inpatient hospital encounter, the provider must consistently follow its *customary charging practices* for all Medicare and non-Medicare patients, for all payers and health plans.

The following supplies, items and services are typically not separately billable and, therefore, not separately payable from the general *room and board charge* or primary service charge. Please note that the examples given do not represent an exhaustive list.

- Any supplies, items and services that, under *customary charging practices*, are included in charges for a specific service or in charges for the delivery of services in a specific location. Examples of included supplies and items are bandages and inpatient admission kits. Examples of included services are IV flushing, dressing changes, equipment monitoring and *routine* nursing care and assessments.
- All items and supplies that may be purchased over the counter, such as personal care items, ice packs, alcohol wipes and cotton balls.
- All reusable items, supplies and equipment that are provided to all patients on a *routine* basis during an inpatient admission; this applies to all types of inpatient admissions, including an admission to a specific treatment area, such as a NICU or CCU, and applies to the admission of a patient who is receiving the same types of service as a patient in a specific treatment area. Examples of reusable items, supplies and equipment are cardiac monitors and durable medical equipment (DME) items used while inpatient.

Medicaid Payment Policy

In addition to the policy, claims payments are subject to other plan requirements for the processing and payment of claims, including, but not limited to, requirements of medical necessity and reasonableness and applicable referral or authorization requirements.

Humana Medicaid plans review inpatient itemized bills with routine services according to applicable state Medicaid agency requirements.

Definitions of *Italicized* Terms

- ***Customary charging practices***: A provider's common or established practice for classifying a particular item or service that is consistently followed for all patients and does not result in an inequitable apportionment of cost to the Medicare Program.
- ***Room and board charge***: Inpatient routine services in an inpatient facility generally are those services included by the provider in a daily service charge, which is sometimes referred to as the room and board charge. The room and board charge includes the room, dietary and nursing services, minor medical and surgical supplies, medical social services, psychiatric social services and the use of certain equipment and facilities for which a separate charge is not payable.
- ***Routine***: Inpatient routine services in an inpatient facility generally are those services included by the provider in a daily service charge, sometimes referred to as the room and board charge. Some examples of routine services include the room, dietary and nursing services, minor medical and surgical supplies, medical social services, psychiatric social services and the use of certain equipment and facilities for which a separate charge is generally not payable.

References

- Centers for Medicare & Medicaid Services website. Medicare Benefit Policy Manual. Chapter 1 – Inpatient Hospital Services Covered Under Part A. Section 40 – Supplies, Appliances, and Equipment. www.cms.gov.

- Centers for Medicare & Medicaid Services website. Medicare Claims Processing Manual. Chapter 20 – Durable Medical Equipment, Prosthetics, Orthotics and Supplies (DMEPOS). Section 210 – CWF Crossover Editing for DMEPOS Claims During an Inpatient Stay. www.cms.gov.
- Centers for Medicare & Medicaid Services website. Medicare Claims Processing Manual. Chapter 4 – Part B Hospital (Including Inpatient Hospital Part B and OPPS). Section 240 – Inpatient Part B Hospital Services. www.cms.gov.
- Centers for Medicare & Medicaid Services website. The Provider Reimbursement Manual – Part 1. Chapter 22 – Determination of Cost of Services. Sections 2202.4, 2202.6, 2202.8 and 2203. www.cms.gov.
- Agency for Health Care Administration website. Health Care Responsibility Act Handbook. Chapter 3 – Covered Services. ahca.myflorida.com.
- Agency for Health Care Administration website. External Quality Review. ahca.myflorida.com.

General Humana Resources

- Availity – Providers can register for access to information on a variety of topics such as eligibility, benefits, referrals, authorizations, claims and electronic remittances.
- Claims processing edit notifications – Alerts of upcoming claims payment changes are posted on the first Friday of each month.
- Claims resources – Providers can find information on referrals, authorizations, electronic claim submissions and more.
- Making it easier – This page contains an educational series for providers and healthcare professionals.
- Medical and pharmacy coverage policies – Humana publishes determinations of coverage of medical procedures, devices and medications for the treatment of various conditions. There may be variances in coverage among plans.
- Publications – This page can help you find our quarterly newsletter, provider manual and other resources to help you do business with us.

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